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Sunday Foresight

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THIS WEEK

A 2027 rate letter is an option contract, and East African lodges are writing it for free.

Plus 9 Big Reads and the forecast ledger



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THE SUNDAY FORESIGHT

A 2027 rate letter is an option contract, and East African lodges are writing it for free. September raised the price of that option.

Read the week as one position. A lodge signs a dollar rate card 12 to 18 months ahead, lets the guest cancel free for most of the booking window, and carries floating costs. Governments add charges that ignore occupancy. On 30 September Uganda reported diesel inflation of 42.5% and Kenya reported transport inflation of 15.6% (UBOS, KNBS). On 22 September Skift and McKinsey found 78% of travellers keep shopping after booking.

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Every figure in this issue traces to a named, dated source. Claims are graded Confirmed, Reported or Early signal. Corrections are published, not quietly edited.

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WHAT EVERYONE IS MISSING

: each problem has its own trade-press fix. But an option is worth more when prices swing and the buyer keeps shopping, and both rose together. A flat 5% rate rise does not reprice that. It raises the price of a contract the guest can still leave, while the owner keeps the fixed costs of an empty room. (Our inference.)

THE WEEK'S SIGNALS

1 THE COST LEG REPRICED: UGANDA DIESEL +42.5%, KENYA TRANSPORT +15.6%

Uganda's diesel inflation was 42.5% in September against headline 4.6% (UBOS, 30 Sep). Kenya's headline rose to 6.8%, and core to 4.0% from 3.4% (KNBS, 30 Sep). Tanzania's shilling fell 6.7% year on year in August (Bank of Tanzania, 30 Sep).

So what — add a fuel or currency review clause to any 2028 rate card.

Bush, City, Beach · UG KE TZ · Confirmed (figures) / Inference (read) · impact:margin

2 THE REVENUE LEG DID NOT MOVE: TANZANIA TRAVEL RECEIPTS +1.7%

Receipts for the year to August were US\$4.39bn against US\$4.31bn (Bank of Tanzania, 30 Sep). Zanzibar's August arrivals were 124,481, up 18% (Zanzibar statistician, 10 Sep). Different places and periods; they do not reconcile.

So what — in Zanzibar, charge a premium for flexibility, not discount for fill.

Beach, Bush · TZ · Confirmed (BoT) / Reported (arrivals) · impact:margin

3 THE EXIT OPTION IS FREE FOR 126 DAYS

Safari bookings run 186 to 190 days ahead (Rhino Africa, 31 Aug); one Kenyan operator's ladder charges nothing beyond 60 days out (our arithmetic, one operator). Half of surveyed US travellers have switched a confirmed stay, a lifetime behaviour not a churn rate (Skift/McKinsey, 22 Sep).

So what — offer a firmer rate, and charge more for a flexible one.

City, Bush · KE TZ · Confirmed (report) / Inference (exposure) · impact:risk

4 FIXED CHARGES KEEP ARRIVING

Kenya deleted the VAT exemption on tourism-building services from 1 July (Finance Act 2026). Nairobi reportedly charges hotels KSh 2,000 per room a year, one outlet only (Kenyan Wall Street, 25 Aug). Tanzania's US\$44 insurance applies since 1 Oct (GN 256).

So what — total every per-room and per-head charge for 2027.

City, Bush, Beach · KE TZ · Confirmed (Act) / Reported (levy) · impact:margin

Blind spots: France's Kenya advice, US Embassy Nairobi/Kampala alerts and Africa CDC briefs gave no dated update after scans. Kenya Gazette No. 175 (2 Oct) unread (403).

30/90-DAY DEMAND CALENDAR

- KE** 6–8 Oct — Magical Kenya Travel Expo. Hold suite rates.
 - KE** 7 Oct — CBK rate decision (8.75% since Feb).
 - TZ** 8 Oct — Tanzania September CPI.
 - US** 11 Oct — US entry order on DRC, Uganda, South Sudan lapses unless renewed.
 - KE** 14 Oct — fuel VAT relief expires; EPRA review follows.
 - TZ** 30 Nov — Ethiopian Addis–Kilimanjaro–Zanzibar to 7 weekly (AeroRoutes, 4 Sep).
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Which part of your 2027 contract does the guest hold for free?



Photograph: Acacia tree with weaver nests next to dirt road in Samburu National Reserve, Kenya by Daniel Case, via Wikimedia Commons, CC BY-SA 4.0

BIG READ 1 OF 9 • 28 SEPTEMBER 2026

Aviation is about to become carbon's biggest buyer. Kenya's rangelands are not on the list.

From 1 January every international airline starts buying carbon credits, and East Africa has spent the year selling them. Uganda authorised ten million tonnes, Rwanda 1.77 million, Tanzania signed again last Monday. Kenya, whose conservancies carry the region's safari industry, capped itself at 1.67 million a year and left land use out entirely.

Last Monday, in an office in Dodoma, someone signed a letter that will end up on the balance sheet of an airline in Europe. Tanzania's Office of the Vice President issued a Letter of Authorisation to BURN, the Nairobi-founded cookstove manufacturer, covering 785,000 tonnes of emission reductions from vintages 2022 to 2025. The letter permits those credits to be transferred internationally under Article 6.2 of the Paris Agreement, which is the technical condition that makes them sellable to aviation. Over 40 per cent of the volume is already committed under forward offtake agreements.

"This Letter of Approval marks an important step in BURN's mission to accelerate the transition to clean cooking for Tanzanian households," said Peter Scott, the company's founder and chief executive. It was the second such letter Dodoma has issued to BURN, and it reads like paperwork. It is not. It is East Africa taking a position in what is about to become the largest compliance carbon market in the world, and it throws into relief the one regional government taking a much smaller one.

On 1 January 2027, international aviation stops being a voluntary buyer of carbon credits. The Carbon Offsetting and Reduction Scheme for International Aviation, CORSIA, has run since 2021 on a volunteer basis, applying only to flights between states that opted in. From the first day of next year, according to the International Air Transport Association, all international flights become subject to offsetting requirements, with exemptions for least developed countries and small island states unless those states choose to participate anyway. Ninety-five days from today, a global industry acquires a legal obligation to buy something that barely exists in sufficient quantity.

The roster is published and worth reading carefully, because CORSIA works on state pairs: a flight is covered only when both the country it leaves and the country it arrives in appear on the list. ICAO's seventh edition of "CORSIA States for Chapter 3 State Pairs", issued on 16 July, names 134 states participating from 1 January 2027, up from 130 this year. The four additions are Brazil, China, India and the Russian Federation, brought in under the note at Annex 16, Volume IV, Part II, Chapter 3, paragraph 3.1.3. No state left.

Four East African governments are on it: Kenya, Rwanda, Uganda and the United Republic of Tanzania, each of them in both the 2026 and the 2027 list. One conspicuous name is not. Ethiopia does not appear on ICAO's list of participating states for either year, and neither does Burundi or Somalia.

That absence is worth a moment, because Addis Ababa is the largest long-haul hub on the continent. On the published list, a flight from Europe to Addis Ababa falls outside the offsetting requirement while a flight from the same European capital to Nairobi, Kigali, Entebbe or Dar es Salaam falls inside it. Whatever CORSIA ends up costing a carrier per seat, it will not cost it evenly across the routes that feed East African lodges.

The scale of the obligation is now fixed rather than theoretical. On 18 December last year, the International Civil Aviation Organization published the first growth factor, the number that converts the scheme's rules into a bill. It came out at 0.15405257, derived from actual 2024 international aviation emissions of 361.2 million tonnes against a baseline of 85 per cent of 2019 emissions, or 305.5 million tonnes. Offsetting applies only to the growth above that baseline, roughly 15 pence in every pound of covered emissions. ICAO's estimate of the first phase, covering 2024 to 2026, is four to five billion dollars for around 200 million credits.

The problem is the supply side, and it is not subtle. A credit only counts for CORSIA if the country where the project sits has issued a Letter of Authorisation and applied a corresponding adjustment to its own national accounts, so the tonne is not counted twice. As of April this year, by IATA's count, only ten countries had done so. The research firm Sylvera estimates first-phase demand at 177 million credits against roughly 32 million fully eligible today. Airlines have budgeted 18 to 20 dollars a credit. African cookstove credits in the voluntary market have been changing hands at two to three dollars.

That spread is the entire story. It is a seven-fold repricing of the same tonne, available to whichever government is willing to sign.

"What attracts us to CORSIA is that it's a known-demand market," Douglas Greenwell of BURN told African Business in June. Storm Patel of the advisory firm TASC put the constraint from the other side, describing the current authorisation system as creating "significant bottlenecks that are slowing the development and scaling of supply".

Three East African governments have moved decisively. On 10 August, Uganda's Ministry of Water and Environment authorised the carbon asset manager Econetix for ten million tonnes across vintages 2025 to 2030. "Ten million tonnes from Uganda is the largest single Letter of Authorization ever granted to a private company," said Jakob Zenz, Econetix's chief executive. Four days earlier, Rwanda's environment authority had authorised the same company for up to 1.77 million tonnes from a Verra-certified cookstove project run with its partner Likano. "Cleaner cooking for households on the ground, and high-integrity, CORSIA-eligible supply for the aviation market," Zenz said of it. Then Tanzania, last Monday.

Kenya went the other way. On 4 August the government published its carbon markets guide, and its headline number is a ceiling rather than a target: a national carbon budget of ten million tonnes of carbon dioxide equivalent for all international transfers through 2030, an annual allocation of 1.67 million tonnes. "It introduces a national carbon budget for trading to safeguard our Nationally Determined Contribution," said Deborah Barasa, the Environment Cabinet Secretary. Festus Ng'eno, the principal secretary, framed it as investor-friendly discipline: "Predictability, transparency, and institutional coherence are essential to attracting quality investment."

Read the two announcements side by side and the arithmetic is striking. A single Ugandan authorisation to one

company is six times Kenya's entire annual export allowance for every project in the country.

The second detail in Kenya's guide matters more for anyone in hospitality. The priority list covers renewable energy, transport and waste. Forestry and land use are not on it, pending what officials describe as stronger emissions baselines, monitoring and safeguards against reversal risk. In a country whose most significant carbon projects are in rangelands, forests and mangroves, that is a considerable omission, described as temporary.

Kenya has reasons for caution that no one in Nairobi has to invent. On 30 January this year, KOKO Networks told 1.5 million customer households by text message that it was shutting down, laying off its entire workforce of roughly 700. The company sold stoves at a tenth of their market value and fuel below production cost, financing the gap with carbon revenue sold into compliance markets including aviation, and Kenya declined to issue the Letter of Authorisation it needed under the Climate Change (Carbon Markets) Regulations 2024. Ben Rattenbury of Sylvera called the collapse "a reality check for the market".

Here is where a lodge owner should start paying attention, because the conservancy is the point at which carbon policy becomes hospitality economics.

The Northern Kenya Rangelands Carbon Project covers more than two million hectares of savannah across 14 conservancies and involves over 175,000 people. Its revenue model sends 60 to 69 per cent of credit sales to the participating conservancies, rising as project risk falls, with the Northern Rangelands Trust recovering costs rather than taking profit. Inside each conservancy, 40 per cent of that money goes to operations and 60 per cent to community-selected development. Those are the same conservancies that host camps, employ guides and levy the conservation fees on a guest's invoice.

That project spent much of the past two years out of the market. A court ruling in January 2025 found that Biliqo Bulesa Conservancy had been established without the legal and community processes required on unregistered community land, which put the project in non-conformance with Verra's ownership rules and triggered a quality control review. The response was substantial: a free, prior and informed consent process under Kenya's Community Land Act, elected governance structures, more than 300 community meetings and an independently assessed ratification vote involving roughly 1,500 people. Verra reinstated the project on 18 June. "The review period has been a transformative journey for the project, strengthening its foundations," said Peter Lekurtut, chairperson of the transition committee. The appeal against the original ruling is still running under an injunction, and Verra has said future verifications will continue to assess compliance with the outcome.

So the largest rangeland carbon project in the region is trading again. Its credits are still not CORSIA-eligible, because that requires a Kenyan Letter of Authorisation with a corresponding adjustment, and land use is not on the published priority list.

Why this reaches the profit and loss account is a question of concentration. Kenya has more than 200 registered conservancies and, on the reasoning behind the Kenya Conservancies Fund launched on 23 April, only a small fraction generate enough revenue to sustain operations independently. That fund offers catalytic grants of roughly 5,000 to 120,000 dollars per conservancy. Useful money, and nothing like a second revenue line. Tourism remains the load-bearing beam under most conservancy budgets, which means bed-night fees are the thing that absorbs every shock, including the ones tourism did not cause.

One honest caveat, because it cuts against the alarmist version of this story. CORSIA will not price a European guest out of a safari. Offsetting applies to growth above the baseline, not to all emissions, which on the 2024 growth factor is around 15 per cent of the covered total, and ICAO's four to five billion dollars spread across three years of global international traffic is a rounding error on a long-haul fare. The Ethiopian gap in the state-pair list is a real asymmetry, but it is an asymmetry in a small number, and nobody should expect it to redraw the region's routings on its own. Anyone selling a lodge software, consultancy or credits on the premise that aviation carbon costs are about to hit inbound demand is selling something. The transmission runs the other way, through the land rather than the ticket.

There is also a claim an operator can no longer make about any of it. The EU's Empowering Consumers directive applied from yesterday, and bans outright any claim that a product has a neutral or reduced climate effect on the strength of offsets bought outside the business's own value chain. Whatever carbon money reaches a conservancy, it cannot become a carbon-neutral safari in a European brochure.

That leaves three questions for the coming quarter. Whether the conservancy your camp sits on has a carbon project at all, and if so what its authorisation status is, since only an authorised project touches aviation pricing. Whether the community land beneath it is registered under the Community Land Act, because a European tour operator's due diligence will reach that question sooner than a Kenyan regulator will. And whether next year's budget assumes conservancy fees stay flat, because on current policy they are the only line with anywhere to go.

The letter signed in Dodoma last Monday moves 785,000 tonnes of Tanzanian cookstove reductions towards an aviation market that does not have enough of them. Kampala has authorised ten million. Kigali nearly two. The rangelands that the region's highest-yielding tourism is built on are, for now, holding a product the world's newest compliance buyer wants and cannot legally purchase.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 2 OF 9 • 28 SEPTEMBER 2026

Tanzania's US\$44 gate opens on Thursday. The cost is not the premium, it is the questions nobody has answered.

From 1 October every foreign visitor entering mainland Tanzania must hold a state-issued travel policy or be refused entry. The premium is small. What will cost East African operators money is the ambiguity around combined itineraries, the exemption and verification at the border, and the three days they have left to fix it.

On Thursday last week, the man whose job is to sell Tanzania to British tour operators began his note to them with an apology. Tim Henshall, head of tourism marketing in the UK for the Tanzania Tourist Board, was writing to members of the African Travel and Tourism Association about a rule that would soon require every foreign visitor to buy a government travel policy at the border. "I can only apologise, as I am trying my very best to get confirmed information from various departments including MNRT (Ministry of Natural Resources & Tourism); TTB (Tanzania Tourist Board) and the Ministry of Finance, but currently I can get no definitive answers," he wrote on 24 September. On the start date, he offered only this: "To be confirmed, but I sense it is imminent."

He was right. Two days later the Tanzania Association of Tour Operators published a Ministry of Finance public notice fixing the date as 1 October 2026. That is this Thursday. From then, a foreigner arriving at Kilimanjaro, Julius Nyerere, Namanga or any other mainland port of entry without an inbound travel policy from the National Insurance Corporation, known as NIC, can be turned back. The premium is US\$44. The warning on the start date, for an industry that sells most of its product a year or more ahead, was five days.

The money is not the story; US\$44 is a rounding error on a Serengeti itinerary. The story is what the rule leaves unsaid, and who ends up paying for the gaps: in staff time, in guest complaints at the arrivals hall, and in the quiet erosion of margin on packages that were priced and contracted long before anyone knew the date.

The instrument is Government Notice No. 256 of 2026, the Insurance (Inbound Travel Insurance) Regulations, published on 4 September under a power inserted into the Insurance Act by the Finance Act 2025. The clearest

reading of it so far comes from lawyers at Clyde & Co in Dar es Salaam, whose note of 16 September sets out the mechanics. Regulation 4 requires every foreigner entering Mainland Tanzania by land, sea or air to hold a valid policy, bought before travel or at the point of entry. Regulation 4(4) is the one operators will remember: a foreigner without cover "shall be denied entry into Mainland Tanzania".

The policy runs for up to 92 days from arrival and covers multiple entries in that window. The premium is fixed at the equivalent of US\$44, about TZS 116,000, payable in shillings through the insurer's own system, and it is non-refundable except as the policy allows. Cover must include emergency medical treatment, medical evacuation, repatriation and lost luggage, but the limits are left to the policy document rather than the regulation. NIC is the designated insurer, alone or with registered partners. Henshall's note adds the point that will irritate travellers most: the requirement applies "regardless of whether they have their own travel insurance already".

Clyde & Co flagged, a fortnight ago, the gap that the weekend notice has now closed. "Although the Regulations do not specify a commencement or enforcement date," the firm's partner Tenda Msinjili and associates Naomi Kammu and Barbara Mawalla wrote, "inbound travel insurance is now framed as a mandatory entry requirement." The date has arrived. Most of the other gaps have not closed.

None of this is a surprise in principle. The charge was announced in the June 2025 budget, and within days tour operators in Arusha were, as *The EastAfrican* reported on 20 June 2025, pleading with the government to shelve it for a year so that trips already sold would not be hit by a charge nobody had priced. In one sense they got more than a year: fifteen months passed between the Finance Act and Thursday. In the sense that mattered, they got nothing, because for most of that time there was no date, no seller and no process against which a contract could be written.

Zanzibar introduced its own US\$44 inbound policy, sold by the Zanzibar Insurance Corporation, known as ZIC, from October 2024, despite complaints from investors on the island at a meeting convened by their association that they had not been consulted. The feared collapse did not follow. By January 2025 *The Citizen* was reporting that arrivals had kept rising since the charge began, reaching a monthly record of 92,000 in December 2024. That is the strongest evidence available that a flat premium of this size does not move demand on its own. It is also why the argument for owners now is not about volume. It is about friction and about who carries the cost of confusion. Three questions matter, and all of them fall due on Thursday.

The first is the combined itinerary, which is the core product of the Tanzanian safari trade. Henshall's note was blunt: the mainland policy is "completely separate to the Zanzibar insurance". The Ministry of Finance notice, as TATO published it, routes the purchase by point of entry: NIC for arrivals on the mainland, ZIC for arrivals through Zanzibar. It then adds that where an emergency occurs anywhere in the United Republic, the visitor is served by whichever insurer sold the policy. Read one way, that implies a single policy covers the whole country, bought wherever the guest lands. Read the other way, it simply allocates claims. What it does not say is whether a guest who lands at Kilimanjaro, spends a week in the Serengeti and flies on to Unguja must also buy Zanzibar's policy on arrival there. Ubon Safari's Umang Gossain, in a guidance note republished by ATC News on 25 September, put the operator's problem plainly: "There are specific arrangements depending on whether you enter Mainland Tanzania or Zanzibar first, so it is important to understand which insurance applies to your itinerary." If the answer is two policies, the bush-and-beach guest pays US\$88 a head for what is, in the traveller's mind, one country.

The second is the exemption. The regulation, as Clyde & Co quotes its definitions, excludes from "foreigner" the residents of East African Community and Southern African Development Community partner states. Much of the press coverage, and Henshall's own note, says citizens. A British consultant or a Dutch engineer living in Nairobi is a resident of an EAC partner state but not a citizen of one. For the lodges and beach hotels that sell long weekends to Nairobi's and Kampala's expatriate market, the difference between those two readings is the difference between a free border and a US\$44 surcharge on every guest in the car. Operator guidance circulating this week lists further exemptions, including work and residence permit holders, members of the Tanzanian diaspora, diplomats and transit passengers. We could not trace all of those to the regulation text, and immigration

officers on Thursday morning will be working from whatever list they have been given.

The third is verification. Regulation 7 obliges the insurer to integrate its systems "with the respective travel authorities". Nobody outside government has yet shown how that works at Namanga or Holili, where Kenyan-based operators move guests across by road, or what happens to a coach party when the verification link is down. A guest who can buy at the point of entry is not refused, but a coach held while forty passengers buy on their phones is simply late.

Tanzania's own figures show where the cost lands. The Tourism Sector Survey, as TATO summarised it on Saturday, recorded 2,294,495 international arrivals in 2025, up 6.7 per cent, and earnings of US\$4.41bn. Some 75.2 per cent of those earnings came from package tours. In practice, that means the policy will mostly be explained, and often bought, by a ground handler or destination management company on the guest's behalf. Where 2027 contracts were signed with an all-inclusive price and no clause for new government charges, the handler absorbs it. A family of two adults and two teenagers, using the child discount operators are quoting, adds US\$132 on the mainland alone, and possibly double that if Zanzibar follows.

That is small against a safari, but not against a handler's margin on a fixed-price group, and it lands in the arrivals hall after a long-haul flight, when patience is thinnest.

The contrast with Nairobi is instructive. On 30 July Kenya's Health Cabinet Secretary, Aden Duale, published Gazette Notice No. 11492 requiring short-stay visitors to hold travel health cover worth at least US\$50,000. On 24 August Justice Francis Rayola Olet suspended it. The petitioners' lawyer argued that the directive was "ostensibly ultra vires", because a health ministry was purporting to instruct immigration on a matter the statute reserves to the Interior ministry. The suspension was due for hearing on 16 September; we have found no published account of that sitting, and on the evidence available the notice remains unenforced.

Tanzania built its version differently: an amendment to the Insurance Act through a Finance Act, then regulations under it, with a state insurer as the vendor and a fixed price. That is harder to challenge and easier to enforce. For East African operators the pattern is worth naming. The arrival gate is becoming a place where governments collect, and the model that has survived is the one that runs through a finance law rather than a ministerial notice. Expect it to be copied, not repealed.

TATO has chosen to make the rollout work rather than fight it. "The success of the implementation will therefore depend not only on the availability of the insurance product but also on effective communication throughout the tourism value chain," its notice reads. In other words, for the first weeks the explaining will be done by the private sector.

City hotels in Dar es Salaam and Arusha should treat this first as a corporate-travel issue. Every foreign business guest now pays US\$44 per 92-day window. Tell corporate accounts and meeting organisers this week, and point frequent travellers to the multiple-entry validity so that they buy once per quarter rather than once per trip.

Bush lodges and camps, and the Kenyan operators who feed them by road, should write to every guest arriving from 1 October, naming the insurer for their port of entry and the official purchase channel, and warn against lookalike sites. Get a written answer from your ground handler on the Zanzibar question before a guest meets it at the gate, and put a government-charges clause into every 2027 contract still open.

Beach hotels in Zanzibar, which have lived with their own scheme for two years, are the best placed to advise and the most exposed to the double-charge risk. They should decide now whether to absorb a second US\$44 for bush-and-beach guests as a gesture, and say so in their sales copy before a competitor does.

The indicators to watch are specific. On Thursday: whether NIC's portal and the verification link at Kilimanjaro, Julius Nyerere and Namanga hold up under the first morning's traffic. Within weeks: whether the Ministry of Finance or the Tanzania Insurance Regulatory Authority publishes a ruling on mainland and Zanzibar policies for the same trip, and on residents versus citizens. And in Nairobi: the next date in the Duale notice case, because if Kenya redrafts its rule through a finance law, as Dar es Salaam did, the region will have three insurance gates

rather than two.



Photograph: An aerial of Kigali Convention Center on June 19, 2019 by Emmanuel Kwizera, via Wikimedia Commons, CC BY-SA 4.0

BIG READ 3 OF 9 • 29 SEPTEMBER 2026

Corporate travel's money is coming back. East Africa is the market buyers have been told to squeeze.

Global business travel spend is forecast to rise 7.2% this year on trip volumes up just 1.3%, while Africa's average room rate fell 19.8% and Kenya's fell 22.2%. The rebound reaches East Africa as a rate negotiation, not a volume windfall.

On 22 September the Global Business Travel Association published the results of a poll it had run between 27 August and 9 September, covering 604 corporate travel managers, suppliers and intermediaries worldwide. The headline was cheerful and was reported as such. Optimism about the next twelve months had climbed to 63 per cent, the highest reading of 2026, up from 41 per cent in April. Pessimism had collapsed from 24 per cent to 7 per cent.

Read one line further and the mood changes. Fifty-six per cent of buyers expected their travel spending to rise. Forty-five per cent expected the number of trips to rise. Sixty-nine per cent named rising costs as their single biggest concern.

That eleven-point gap is the story, and it is not a rounding error. It is the same gap GBTA had already put a number on seven weeks earlier. Its Business Travel Index, released on 3 August, forecast global business travel spending of \$1.71 trillion in 2026, up 7.2 per cent, on 1.84 billion trips, up 1.3 per cent. Money rising at five times the rate of volume is not a recovery in travel. It is a recovery in the price of travel.

Suzanne Neufang, chief executive of GBTA, put it without decoration. "The big story this year is that companies haven't stepped away from travel, but they are increasingly more selective and productivity-focused," she said when the forecast was published. Two months later, announcing the September poll, she added the other half: "Rising costs and geopolitical risk are now part of everyday planning for managed travel programs."

For a hotel owner in Nairobi, Kigali, Dar es Salaam or Kampala, the instinct on reading that a record \$1.71 trillion is about to move through corporate travel budgets is to plan for arrivals. That instinct is the wrong one, and the reason is sitting in the region's own rate data.

FCM Consulting, the advisory arm of one of the larger global travel management companies, published its 2026 hotel insights report in May. Its African numbers, drawn from rolling twelve-month data to late 2025, do not read like a market with pricing power. The continental average room rate had fallen 19.8 per cent. Kenya was down 22.2 per cent. Ethiopia was down 31.1 per cent. Ghana was down 42.2 per cent. Against that, Johannesburg was up 23.6 per cent in the fourth quarter of 2025 and Cairo up 12 per cent, lifted by South Africa's G20 hosting year and by North African leisure demand.

What Mummy Mafojane, general manager of FCM South Africa, then said about those numbers is the most consequential sentence published about East African hotel pricing this year, and it was not addressed to hoteliers at all. It was addressed to the people who buy from them.

"Where rates are softening, buyers have a genuine opportunity to consolidate volume and push for preferential corporate rates," she said. "Where rates are climbing, the focus has to shift to compliance."

That is the transmission mechanism, stated plainly by the buy side. A rising global corporate travel budget does not arrive in a market as extra demand. It arrives as a procurement exercise, and the advice going into that exercise is to take the volume to wherever rates are soft and extract a preferential rate for bringing it. On FCM's own table, East Africa is where rates are soft.

	Direction	Period
Global corporate travel spend	+7.2% to \$1.71trn	2026 forecast
Global corporate trips	+1.3% to 1.84bn	2026 forecast
Africa average room rate	-19.8%	rolling 12 months to late 2025
Kenya average room rate	-22.2%	rolling 12 months to late 2025

The picture is not uniform, and the region's defenders have a fair point to make. In the same commentary Mafojane noted that Nairobi, alongside Johannesburg, Cape Town, Cairo and Rabat, was actually up on 2024 rates, while Windhoek, Gaborone, Lagos and Luanda fell. So Kenya's country average and its capital point in opposite directions. That does not soften the argument, it locates it. The compression is happening outside the capital: in coastal conference stock, in secondary-city business hotels, in the upcountry properties whose meeting rooms are sold to ministries, agencies and non-governmental organisations rather than to multinationals.

Kenya's own statistics explain why that exposure is structural rather than cyclical. The Kenya National Bureau of Statistics reported in May that of 2.55 million international arrivals in 2025, holiday travel accounted for 47.8 per cent and business for 25.2 per cent. Local conferences numbered 12,671, up 12.9 per cent. Hotel bed-nights rose 12.6 per cent to 11.56 million, while domestic occupancy sat at 45 per cent.

A quarter of arrivals coming for business, and a conference count growing at nearly 13 per cent, sounds like strength. The question is who those buyers are. Håvar Bauck, founder of the Nairobi-based distribution firm HotelOnline, answered it in June while arguing, correctly, that the city's long-run demand trend is upward. "Nairobi is becoming more important as a diplomatic and United Nations city," he said.

He meant it as reassurance, and as a description of durable demand he is right. But a diplomatic and institutional buyer is the least upwardly price-elastic customer in hospitality. It books through a tender with a published rate ceiling, against a per-diem set by a finance department in another country, approved by a committee whose incentive is to be seen to have paid less than last year. It does not pay a premium for a renovated lobby or a better breakfast, and it cannot be upsold. When global corporate budgets rise 7.2 per cent, that money flows to suppliers who can be re-rated. An institutional rate card is not one of them.

Supply then decides who holds the pen. Trevor Ward, managing director of W Hospitality Group, described Nairobi's position in June: roughly 20 new branded hotels of about 3,650 rooms in the pipeline at the start of 2026, some 1,500 rooms expected to open this year, on top of around 2,000 branded rooms added since 2023,

with occupancy already down close to ten percentage points.

"While Nairobi is a big market with various sub-markets, that's a lot of new rooms for any African city to absorb," Ward said. "Clearly, occupancies and rates will continue to be at risk as more and more rooms enter the market." His remedy was blunt and pointed at the right target: "The industry needs to work with government to increase demand to match the increases in supply."

Michael Pownall, co-founder and managing partner of Valor Hospitality, sees the capital differently, and his reading is worth holding alongside Ward's. "Nairobi remains an undisputed heavyweight," he said. "The fact that the city continues to attract significant institutional capital and boasts a record development pipeline demonstrates the confidence investors have in the market." Both men can be right. Investor confidence and owner returns are not the same variable, and Pownall's own framing concedes the distinction: "Investors are no longer chasing vanity metrics such as room counts."

Kenya's stated answer to all of this is volume. In July, Julius Bitok, principal secretary in the Ministry of Tourism and Wildlife, and June Chepkemei, chief executive of the Kenya Tourism Board, set out a target of five million international arrivals a year by 2028, with business events as a principal engine. "Kenya's expanding world-class venue capacity must be matched by an equally aggressive push from both the government and the private sector to firmly establish the country on the global events calendar," Bitok said.

Venue capacity is not the binding constraint, and the proof is some 1,150 kilometres away. Kigali has been ranked second in Africa for international association meetings by the International Congress and Convention Association for two consecutive years, behind Cape Town, which took first place on 55 qualifying meetings in 2024. It has done so on a room stock a fraction of Nairobi's, because since 2014 it has sold a brokered bid through a national convention bureau rather than selling rooms. An association looking for a host city is handed one counterparty, one costed proposal and one accountable owner of the outcome.

Nor is Rwanda immune to the same squeeze, which is instructive in itself. Its delegate numbers fell from more than 65,000 in 2023, worth roughly \$95 million, to more than 52,000 in 2024, worth roughly \$84.8 million. Its stated response is a 2029 revenue target of \$224 million: a bet on value per delegate, not on headcount. That is the correct bet in a market where spend is rising five times faster than trips, and it is the opposite of a five-million-arrivals target.

The operational conclusion follows from the arithmetic. If the global buyer's budget is growing while their trip count is not, then every trip they still take has to be defended internally, and the supplier who helps them defend it is the one who keeps rate. Rachel Newns, global hotel practice lead at FCM Consulting, described what the buyer is now buying: "Travel is now more focused on bringing people together with purpose, whether for client work, revenue generation, or internal alignment." Edward Galvin, vice-president and head of North America at Visa Commercial Solutions, described what they need in order to keep buying it: "Organizations need greater visibility, control and flexibility to manage rising travel costs and measure ROI."

Neither of them asked for a discount. That is the point East African operators should take from a week of otherwise encouraging global data. The 2027 corporate rate season will open on a market where the money is real, the volume is flat, and the region's published rate history reads as an invitation. A hotel that answers a tender by shaving its rate has conceded the only asset it controls. A hotel that answers with evidence of what the trip achieved, length of stay, meeting outcomes, total trip cost rather than nightly rate, is selling the thing the buyer has been told to look for.

The money is coming. Whether it arrives as rate or as a rate cut is being decided now, in procurement documents nobody in the region is being shown.



Photograph: Onyango George / EA Hospitality Pulse

BIG READ 4 OF 9 • 29 SEPTEMBER 2026

Kilimanjaro has a fire season. The business around it still sells September as if it does not.

For the second time in 25 days, fire has forced Tanzania's park authority onto the defensive on Africa's highest mountain, and this time it closed the western approach that carries some of the mountain's longest climbs. The blazes are not bad luck. They arrive at the dry end of the climbing year with a regularity that the hotels, lodges and operators around the mountain have yet to write into their contracts.

Early on Monday morning, fire was detected in the Sangarini area of Kamwanga, inside Kilimanjaro National Park on the mountain's western flank, moving towards the Shira Plateau. By the afternoon Tanzania National Parks had done something the September fire earlier this month had not required: it shut two climbing routes. Lemosho and Londorosi, the western approaches, were suspended until further notice.

"The tourists who wanted to use Lemosho and Londorosi routes should use alternative routes of Machame, Marangu, Mweka and Rongai," Catherine Mbena, the assistant conservation commissioner who heads TANAPA's corporate communication, told The Tranquillity News. The authority said the extent of the burn had not been established, that its cause was under investigation, and that strong winds, dry vegetation and steep ground were making the work hard. It gave no date for reopening. Crews from the Fire and Rescue Force, the Tanzania Forest Services Agency, the Enduimet Wildlife Management Area, the reserve force and neighbouring villages were on the slopes alongside park staff, Xinhua reported.

This was the second fire on the mountain in 25 days. On 3 September, at about half past three in the afternoon, smoke rose from the Kikererwa area near Rombo district, close to the Kenyan border. Before dawn the next day the flames were visible between Kibo and Mawenzi. That fire burned more than 1,800 hectares, according to Tanzanian authorities, and took close to two weeks of firefighting to bring fully under control. Helicopters were brought in for the high ground. On 5 September Ashatu Kijaji, the minister for natural resources and tourism, walked the fire line. "As of this morning, we had managed to contain more than 90 percent of the fire," she said.

She did not rule out human activity, and the government announced it would begin acquiring a dedicated helicopter for TANAPA.

Taken one at a time, each of these fires is a contained incident with no injuries, and TANAPA has been careful to say that climbing elsewhere continued normally. Taken together, they describe something the region's hospitality industry has been slow to price: Kilimanjaro now has a fire season, and it falls in the most commercially awkward place in the calendar.

The record is short but consistent. Tanzanian press accounts list significant fires in 2018, 2020, 2022 and 2023, and The Tanzania Times, reviewing them this month, noted that each erupted in September or October. In October 2020 a fire started at Whona, a rest point used by climbers bound for the Mandara and Horombo huts on the Marangu side. "Firefighters from TANAPA, other government institutions and locals are continuing with the efforts to contain it," Pascal Shelutete, a TANAPA official, said at the time. Agence France-Presse later reported that the 2020 blaze raged for a week across 95 square kilometres, though other official accounts gave a smaller figure.

Two years later the mountain burned again, beginning near Karanga camp at about 4,000 metres on the south side, and consuming more than 34 square kilometres over several days. The then minister, Pindi Chana, said the situation was "generally under control". Herman Batiho, a TANAPA official, told reporters he was "sure" human activity was to blame, through illegal poaching or people collecting honey. In September 2023 a smaller fire burned about 17 acres. This year there have been two in a month.

The mechanism is not mysterious. Officials said strong winds and Erica vegetation at about 3,000 metres drove the rapid spread of the September blaze, and the heath belt is at its driest at the end of the long dry season. Add wind, add a human ignition source, whether a honey hunter, a poacher's fire or a careless cooking stove, and a small blaze on steep, roadless ground becomes a multi-day operation. The ignition may be an accident each time. The window in which accidents become fires is not.

That window is late September and October, the tail of the dry-season climbing months and the weeks before the short rains. For many lodges it is also when the following year's contract rates with overseas operators are being settled.

Closing Lemosho and Londorosi does not stop climbing on Kilimanjaro. TANAPA's instruction is explicit: change route, do not cancel. But the substitution is less neat than the statement suggests, and the cost falls on the businesses around the mountain rather than on the park.

Lemosho starts at Londorosi gate on the western side, a few hours' drive from Arusha, and crosses the Shira Plateau from west to east before joining the Machame route near the Lava Tower. Operators sell it as the quieter, more scenic way up, and usually run it over seven or eight days. Machame, the obvious substitute, already carries heavier traffic and shares Lemosho's trail only from the Lava Tower upwards. A guest moved from an eight-day Lemosho to a Machame itinerary therefore does not simply swap trails. They may come off the mountain a day or two early, or need a longer route built at short notice, and every change ripples into transfers, park fees, crew rosters and, above all, the hotel nights either side of the climb.

This is where the hospitality exposure sits. The trekking companies carry the operational burden, but the pre-climb and post-climb nights in Moshi and Arusha, the lodges on the western approach around West Kilimanjaro and the Enduimet area, and the safari and Zanzibar extensions sold behind a climb are all booked against fixed dates. When a route closes, those dates move. Who pays for the extra night, the forfeited night or the rebooked flight is a question most contracts answer only through a general force majeure clause, if at all.

The new state travel policy does not close that gap. From Thursday, every foreign visitor entering mainland Tanzania must hold the government's US\$44 policy. As we reported on Monday, the cover the regulations require is for emergency medical treatment, evacuation, repatriation and lost luggage. A closed climbing route is none of those things. Guests who assume the mandatory policy protects their trip against a mountain closure are

likely to be disappointed, and the disappointment will arrive at the lodge reception desk rather than at an insurer's claims line.

The fire season will end, and soon. What replaces it is not a quiet period but a different hazard. On 18 August the Tanzania Meteorological Authority warned that this year's short rains would be shaped by an unusually powerful Pacific warming. "The 2026 Vuli rainfall season is expected to be substantially influenced by a very strong El Niño," said Ladislaus Chang'a, TMA's director general. The authority forecast above-normal to normal rainfall across the north-eastern highlands of Arusha, Manyara and Kilimanjaro, intensifying in November and continuing into January 2027, with warnings of eroded roads, damaged bridges and disrupted airports.

For a lodge on the mountain's lower slopes, that sequence matters. The same quarter can bring a route closure for fire in late September and a washed-out access road in November. Each is individually a known risk. Together they compress the safe selling window at the end of the year into something shorter than most rate cards assume, and they do so at a moment when TANAPA's firefighting capacity is still being built. The helicopter is a pledge, not an aircraft. In 2023 China presented a US\$1 million cheque for disaster management at the park's 50th anniversary celebrations; three fire seasons later, the minister is announcing that the authority will begin acquiring an aircraft of its own.

None of this makes Kilimanjaro a less attractive product. Climbing continued through each previous fire, and TANAPA says it continues now on the other routes. The point is narrower and more practical. A risk that recurs in the same weeks almost every year is no longer an act of God. It is a seasonal feature, and it should be treated the way coastal hotels treat the monsoon or lodges in the Mara treat the long rains: written into terms, communicated before booking and costed into rates.

For bush properties on and around the mountain, the first task is contractual. Any lodge that sells climb-linked stays for September and October should add a specific route-closure clause to its 2027 contracts with trekking and safari operators, stating whether nights lost to a TANAPA closure are refundable, transferable or chargeable. Relying on general force majeure invites a dispute every time the wind turns. Properties on the western approach should also agree a rerouting protocol with their operator partners now: which alternative route, which transfer, and which night is added or dropped.

For city hotels in Moshi and Arusha, the exposure is volume and timing rather than loss. A closure moves guests rather than removing them. Hotels should hold a small amount of flexible inventory in late September and October and offer operators a named rate for unplanned extra nights, rather than rack rate on the day. The hotel that answers the operator's phone first with a price will keep the business.

For beach properties in Zanzibar and on the coast that sell post-climb extensions, the effect is shifted arrivals. A guest who comes off the mountain early will want to reach the beach early. Date-change flexibility on climb-linked packages costs little and earns loyalty from the operators who send the volume.

For everyone, guest communication should change before booking, not after. Tell September and October climbers, plainly, that fire can close routes at short notice, that the mandatory Tanzanian policy does not cover it, and that separate trip-interruption cover is worth having.

The indicators to watch are specific. First, TANAPA's notice reopening Lemosho and Londorosi, and whether it comes with an assessment of the area burned. Second, the findings of the investigations into both September fires, which TANAPA and the minister have promised but not yet published. Third, whether the helicopter moves from announcement to procurement before next year's dry season. And fourth, the onset of the short rains over the north-eastern highlands in October, which will end the fire risk for this year and open the flood risk that follows it.

Kilimanjaro will be climbed next September, as it has been through every fire so far. The question is whether the businesses that depend on it will have written the fire into their terms by then, or will once again be reading about it in a park authority statement on a Monday afternoon.



Airliners on the apron at Nairobi's Jomo Kenyatta International Airport, 2025 · Bahnfreund · via Wikimedia Commons · CC BY-SA 4.0

BIG READ 5 OF 9 · 30 SEPTEMBER 2026

East Africa outgrew the world this year. The bill is arriving at the airport.

UN Tourism has halved its 2026 growth forecast, and Africa is the fastest-growing region in a world that has almost stopped growing. The figure East African operators will quote in their 2027 rate letters is real. The constraint it hides has moved from the room rate to the cost of the seat.

On 25 August, Kenya Airways told the market it had grown revenue by 9 per cent to KShs 81 billion in the six months to June. Dr George Kamal, the acting group managing director and chief executive, presented it as a result won by discipline. "We grew revenue by 9% to KShs 81 billion despite operating with 9% less capacity," he said.

The second clause is the one that matters. The airline earned more by flying less. It flew less because fuel had become the organising fact of its cost base: up 32 per cent year on year, running at roughly 32 per cent of operating expenses and 52 per cent of direct operating costs. Total operating costs rose 14 per cent. The cabin factor improved by four percentage points, which is what happens when you withdraw seats from a market that still wants them. The airline lost KShs 16.1 billion anyway, against KShs 12.2 billion a year earlier.

Three weeks later, on 17 September, UN Tourism published the September edition of its World Tourism Barometer, and East African trade bodies were handed the line they have been repeating ever since. Africa's international arrivals rose 4 per cent in the first half of 2026, the fastest growth of any world region, ahead of Europe on 3 per cent, the Americas on 2 per cent and Asia and the Pacific on 1 per cent. The figure is accurate. It is also the most misleading number an East African operator will be given this year, because of what it is measured against.

Globally, arrivals in the first half came to 690 million, a rise of 0.4 per cent. That is three million more travellers than the same period in 2025, in an industry that moves nearly 700 million people in six months. UN Tourism cut its full-year forecast for 2026 to between 1 and 2 per cent growth, down from the 3 to 4 per cent it had projected in January. The Middle East, which had been the sector's growth engine, fell 22 per cent. South Asia fell 5 per cent, South East Asia 1 per cent. "Tourism has not stopped growing, but that growth is fragile," said Shaikha Al

Nowais, the organisation's secretary-general, who took office in January as the first woman to hold the post.

Read the two documents together and Africa's 4 per cent stops looking like momentum and starts looking like arithmetic. Part of it is a low base. Part of it is diversion: when Gulf airspace closes and Middle Eastern carriers contract, some of the traffic that would have connected through Doha or Dubai goes somewhere else, and some of the holidays that would have been taken in the region are taken elsewhere. Very little of it is the world deciding it wants more of East Africa than it did last year.

The Kenyan monthly data, drawn from the National Bureau of Statistics, shows the texture underneath. Arrivals rose 12 per cent in January, 8.4 per cent in February and 14.2 per cent in March, then 2.9 per cent in April, which is the month global arrivals themselves went into reverse. The more durable pattern in that series has nothing to do with long haul at all. Arrivals from East and Central African cities, Addis Ababa, Kigali, Entebbe and Dar es Salaam among them, ran at between 72,000 and 75,000 a month and overtook Europe in several of them. The region is increasingly selling to itself.

None of which is the interesting part. The interesting part is where the price resistance has gone.

Kirsty Gordon, chief executive of Anywhere in Africa Safaris, put it in one sentence to Southern and East African Tourism Update on 9 September. "It has been more about price sensitivity on international flight costs into Africa due to the fuel increases, which clients book themselves, but not price sensitivity for lodges or hotels."

That is the whole argument, delivered by someone selling the product. The guest is not haggling over the nightly rate. The guest is looking at the airfare and deciding whether the trip happens. And the airfare is the one line in the trip budget that no East African operator controls, sets, discounts or can even reliably forecast.

The reason is visible in the aviation numbers rather than the tourism ones. IATA's June outlook, published under the title *Energy in Crisis*, assumed Brent at USD 95 a barrel for 2026 and a jet fuel crack spread of USD 57, giving an average jet fuel price of USD 152 a barrel, roughly 70 per cent above the previous year. Industry fuel spend was put at USD 350 billion, a rise of 39.3 per cent, and 31.4 per cent of operating costs. Global aircraft departures were forecast to fall 0.6 per cent. Passenger traffic was forecast to grow 2.1 per cent. The industry is being asked to carry more people on fewer flights, and it is paying a great deal more for the privilege.

Against that, IATA put African passenger traffic growth at 10 per cent for 2026, the strongest of any region. Set the two facts beside each other and the squeeze is obvious. African demand for seats is growing at five times the global rate while the carriers that serve it withdraw capacity to protect their balance sheets. Kenya Airways cut 9 per cent. RwandAir suspended its Dubai and Doha services after the Iran conflict disrupted Gulf airspace, taking cargo runs to Dubai, Sharjah and Abu Dhabi with them. Kamal, speaking in August, was blunt about what he was short of. "We have demand, every route we deploy ... it's full, so we need the aircraft as soon as possible." He also said the airline had been "heavily impacted by the war, with fuel prices rising by 72 per cent in the current half year."

A full aeroplane into Jomo Kenyatta is therefore not evidence of a healthy market. It is evidence of a rationed one. And rationed seats do what rationed anything does: they price upward, they price unpredictably, and they price without reference to whether a lodge in Laikipia has held its rate.

The effect on the guest is already documented. Valerie de Bruyn, owner and travel director of Africa Memories Travel, described the behaviour to the same publication. "We are seeing some trading down rather than trading out of safari. Guests who may previously have chosen a higher-end lodge are often happy to consider a more affordable property, provided the overall safari experience remains strong." The question she now fields from clients is, in her account, simply: "Can you offer us a similar safari experience at a better rate?"

David Ryan, founder and chief executive of Rhino Africa, added the structural point that makes this bite hardest in East Africa. "Everything north of the Limpopo is dollar-based. Even many South African lodges set their pricing in dollars." An operator whose rate card is in dollars cannot absorb a fare shock through currency. The

guest sees one dollar total and allocates it between seat and bed, and the seat is being bid up first.

Ryan's own figures show where that leaves the repeat guest, the most valuable segment most camps have. A trip that cost a returning client roughly USD 20,000 two years ago now costs between USD 25,000 and USD 30,000. Rhino Africa runs 60 to 65 per cent of its business on repeat and referral, and its peak booking window for this high season ran from January to March, with lead times on high-end bookings of 186 to 190 days. Those are long, deliberate decisions, taken months before departure, on a total number. By the time an operator learns the guest balked, the season is gone.

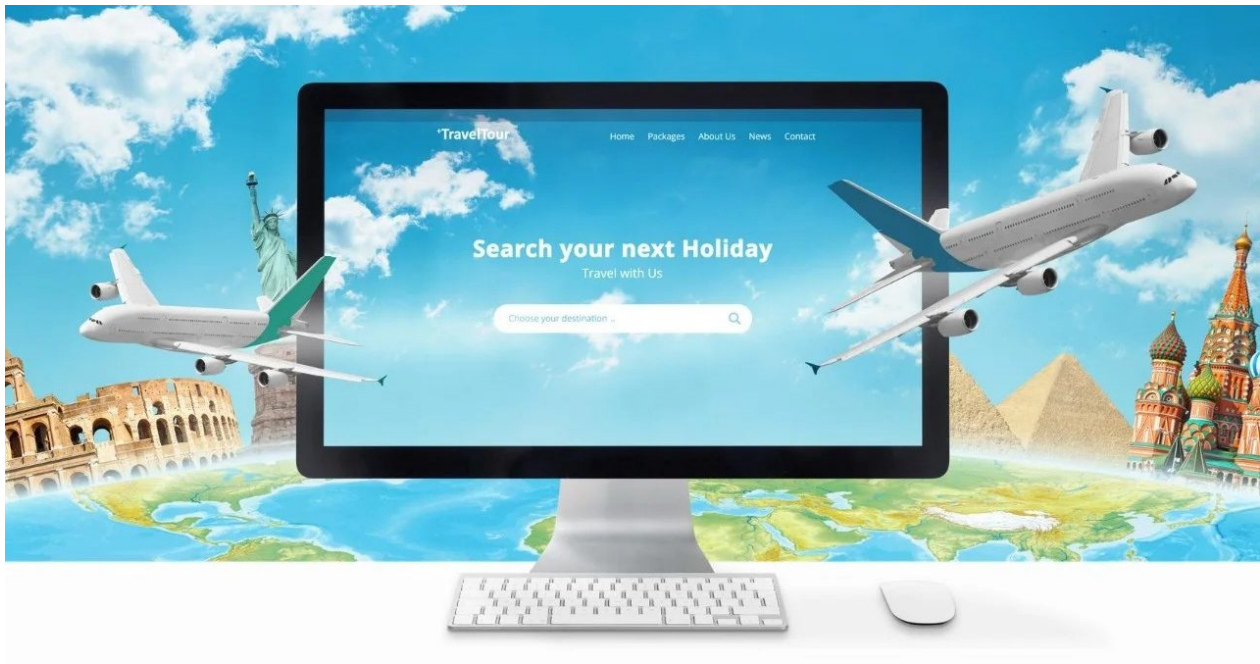
The arithmetic that matters for 2027. A 6 per cent rate rise on a seven-night safari at USD 900 a night adds USD 378 to the trip. A 25 per cent move in a long-haul return fare from Europe, on a base of USD 1,100, adds USD 275 per traveller, or USD 550 for a couple. The operator controls the smaller number and is blamed for the larger one.

Which is why the 2027 rate letter now being drafted across the region is answering the wrong question. The question is not how much of an increase the market will bear on a bed night. On current evidence it will bear a reasonable one: Kenya's forward bookings for August to November, in the Central Bank of Kenya's own survey of hoteliers, stood at 56.25 per cent against 49.5 per cent in the comparable period a year earlier. UN Tourism's confidence index for September to December came in at 113 on a scale where 100 is neutral, up from 105 for May to August. Demand exists. Sentiment has improved.

The question is what the total trip costs, and whether the property is competing on the part of that total it can actually move. Three things follow. Quote the trip, not the night, because that is the unit the guest is deciding on, and a property that only ever publishes a per-night rate has handed the framing to whoever assembles the package. Build a genuinely shorter product, because a guest trading down on nights is cheaper to keep than a guest trading out of the destination, and a strong three-night offering protects the rate in a way a discount does not. And watch the fare into your nearest gateway with the attention normally reserved for the comp set, because in 2027 the airline's fuel hedge will do more to your occupancy than your competitor's rate card will.

Two cautions are worth stating plainly. The first is that a share gain built on Middle Eastern weakness is a loan, not an endowment. The region's arrivals fell 22 per cent this year; when Gulf airspace normalises and its carriers restore capacity, some of the traffic East Africa is currently banking goes home, and it will go home into a full-year global growth rate that UN Tourism has already halved. The second is that Africa's 10 per cent traffic growth and East Africa's shrinking seat supply cannot both continue indefinitely. One of them resolves. If it resolves through fares, the region keeps its arrivals and loses its yield mix, and the guest who used to book the USD 900 room books the USD 500 one. If it resolves through capacity, through aircraft actually arriving, the constraint eases and the rate conversation returns to normal.

Nobody in East African hospitality gets a vote on which. That is the uncomfortable part of a very good headline number.



Online travel booking, illustration · © Onyango George / EA Hospitality Pulse, own work

BIG READ 6 OF 9 · 1 OCTOBER 2026

Europe's hotels spent twenty years getting to court. East Africa was handed the law in December.

Some 18,000 European hotels will be claiming damages from Booking.com this autumn over price parity clauses. A regional regulation in force across Kenya, Uganda and Rwanda since December already prohibits those clauses by name. Nobody in East African hospitality has opened the file.

On 23 February, in Livingstone, Zambia, the COMESA Competition Commission formally launched the most consequential piece of law written for East African hotel distribution in a decade, and almost nobody from East African hotel distribution was in the room. The audience was competition lawyers, officials and consumer advocates. Willard Mwemba, the Commission's chief executive, used the occasion to describe dark patterns, the design tricks that nudge a shopper into a decision they did not quite make, as "the supreme evil of consumer violations." Chileshe Mpundu Kapwepwe, COMESA's secretary general, framed the week more soberly. "Effective enforcement is not merely a legal exercise, it is an economic imperative," she said.

The regulations being launched had been in force for eleven weeks by then. The COMESA Competition and Consumer Protection Regulations 2025 take effect, under Regulation 84, upon approval of the Council of Ministers, and the Council approved them on 4 December 2025. Buried in Chapter Three, at Regulation 38, is a list of practices prohibited to any undertaking designated as a gatekeeper. The first item on that list reads: "imposing price or service parity clauses on business users."

Seven months later, in a different jurisdiction, a much louder version of the same fight reached a procedural milestone. Registration closed on 11 September for European hotels joining the collective damages action against Booking.com before the Amsterdam District Court. The claim was filed on 30 January with 3,087 hotels. By 30 July it carried 10,783, and the Stichting Hotel Claims Alliance, the Dutch foundation running it with the support of HOTREC and more than thirty national hospitality associations, expects a third and final expansion this autumn to roughly 18,000 properties. It covers the period from 2004 to 2024 and is expected to run to several billion euros.

"Hospitality businesses across Europe have recognised the detrimental effects of Booking.com's anti-competitive practices and are now seeking redress," said Alexandros Vassilikos, HOTREC's president, when the July expansion was announced. The legal footing is the Court of Justice of the European Union's judgment of 19 September 2024, which found that Booking.com's wide and narrow parity clauses were not ancillary restrictions that could be waved through as necessary to the platform's business. Two decades of contract terms became, retrospectively, a liability.

It is worth being exact about what the clauses did, because the East African version of this argument depends on the distinction. A wide parity clause stopped a hotel offering a lower rate on a rival platform. A narrow one stopped it offering a lower rate on its own website. The second is the expensive one. It does not cap commission. It removes the only lever a hotel has to make its direct channel worth building, which is the ability to be cheaper there. The invisible cost is twenty years of not developing the muscle.

Six days before the European registration deadline, HOTREC published the numbers that explain why this is a structural case rather than a grievance. Its European Hotel Distribution Study 2026, released on 17 September and drawn from 2,713 properties, found direct bookings at 51 per cent of volume and online travel agencies at 29.9 per cent. The OTA share was 19 per cent in 2013. Within that 29.9 per cent, Booking Holdings accounts for around 69 per cent of bookings, and Booking Holdings and Expedia Group together for more than 85 per cent of the European OTA market. "Hotels need digital platforms, but they also need genuine choice," Vassilikos said. "Growing concentration must not translate into growing dependency."

Booking.com's answer is not evasive, and it deserves to be stated in its own words. "We believe the claims about Booking.com's past use of parity clauses are incorrect and unjustified," the company said in a statement published on 16 February. It argues the clauses were standard practice for years, that they fostered competitive pricing and transparency rather than suppressing competition, and that 74 per cent of hoteliers say the platform makes their business more profitable. On harm it is unambiguous: "no court or regulatory authority has determined that partners or consumers have suffered loss."

The company also notes, correctly, that the clauses are gone. "Booking.com doesn't use parity clauses in Europe anymore," the statement reads, removed as part of its compliance with the EU's Digital Markets Act, and it is careful to characterise that as a policy decision rather than a concession.

Read that sentence again with a Zanzibar beach resort in mind. Europe. The clauses went where a law arrived to take them. That is not a complaint about the platform, which is behaving exactly as a rational commercial party behaves. It is a statement about where the relevant variable sits, and the relevant variable is not the hotel's negotiating skill. It is the jurisdiction.

Australia is the control group. The Amsterdam claim is limited to the European market, and consumer advocates there have been blunt about what that means. "We know that it's very unlikely we'll see similar court cases in Australia that will return money back into Australian pockets," Erin Turner, chief executive of the Consumer Policy Research Centre, told the ABC in May. Same platform, same contract architecture, no instrument, no remedy.

Which is what makes South Africa the most useful precedent on the continent. On 13 August 2024, the Competition Commission announced a settlement with Booking.com arising from its Online Intermediation Platforms Market Inquiry. The company agreed to remove "the wide and narrow price parity terms from all contracts with accommodation providers in South Africa." Crucially, it also agreed to remove those terms "from any criterion for participation in Booking.com's incentive programmes (Genius, Preferred Partner or Preferred Plus) or any other membership programmes," and to fund a programme to onboard and grow small and medium establishments owned by historically disadvantaged persons.

That second remedy is the one that does the work, and it is the one most operators misunderstand. Strike a parity clause out of a contract and a platform can still achieve the same outcome through visibility: price discipline becomes a condition of ranking rather than a condition of listing. Booking.com's own framing of these schemes is

that "any additional programs that our partners choose to opt into for increased visibility and bookings are entirely optional." Optional is doing a great deal of work in a market where the platform supplies a third of the bookings.

South African operators understood immediately what they had been handed. "If a hotel wants to sell the lowest/best rate possible on their own website, they should be able to do so," said Graham Wood, chief operating officer of Sun International. Tshifhiwa Tshivhengwa, chief executive of the Tourism Business Council of South Africa, put it in occupancy terms: "A room not filled per night is a room lost and this agreement will allow businesses to price for higher occupancy."

Now read Regulation 38 again. It does not stop at parity. It also prohibits "imposing anti-steering provisions, or otherwise preventing business users from engaging consumers directly outside of a core platform," and, at paragraph (e), "differentiation in fees or treatment against small and medium enterprises." A regional regulation already in force across Kenya, Uganda, Rwanda and Burundi prohibits, in terms, both the clause South Africa negotiated away in 2024 and the visibility-programme workaround that South Africa had to negotiate away separately. Regulation 37 adds the fallback: abuse of economic dependence, which arises where switching possibilities "do not exist," and which expressly "does not require a dominant position in any market." Regulation 28 supplies the South African route itself, allowing the Commission, on the findings of a market inquiry, to "enter into agreements with undertakings to implement necessary remedies." Regulation 5 reaches any economic activity having an effect in two or more member states, which a platform selling Nairobi, Kampala and Kigali plainly does. Tanzania, which withdrew from COMESA on 2 September 2000, is outside all of it, so Zanzibar and the mainland would need the national route instead.

Kenya is building that national route in parallel, and it is further along than the coverage suggests. The Competition (Amendment) Bill 2026 was gazetted on 19 February and sponsored by Kimani Ichung'wah, the Leader of the Majority Party. Its memorandum states the object plainly: to broaden the Authority's mandate "in addressing anti-competitive conduct in digital markets and unfair market conduct arising from the abuse of superior bargaining position." The Bill's definition of digital activity expressly includes "online intermediation services, including online marketplaces." Booking platforms are not an edge case here. They are the named subject.

The operative provisions are new sections 40A to 40C, inserted as a Part headed Unfair Market Conduct. Section 4(6) defines a superior bargaining position as an imbalance in rights and obligations where "the counterparty cannot find a viable and satisfactory alternative in the market," and section 4(7) removes the need to establish dominance at all. Section 40B then lists the conduct, and the list reads like an audit of platform contracting: unilateral variation of terms without prior notice, demands for preferential terms unfavourable to the counterparty, service fees above competitive levels, unduly difficult conditions for terminating the service. Section 40B(4) tells the Authority what to weigh, and it is the degree of dependence, the possibility of changing counterpart, and whether the party under investigation is "an unavoidable trading partner." Under section 40C the Authority may act on its own initiative or on a complaint from any person. The sanction is not the headline figure of ten million shillings. It is the new section 91A, which allows an administrative penalty of up to ten per cent of the preceding year's gross annual turnover in Kenya, recoverable as a civil debt.

Two honest limits. Regulation 38 binds undertakings "designated as gatekeepers," and while the Regulations define the term, the published text sets out no designation procedure. Until someone is designated, the parity prohibition is a loaded instrument with no finger on it, and Regulation 37 or a market inquiry is the nearer path. Second, this is not an argument that applies evenly across East African hospitality. For a high-end Serengeti or Laikipia camp, the binding channel is the tour operator and the net rate, not the OTA, and no public figure exists for what share of East African room nights moves through platform distribution. That absence is itself telling. HOTREC can say 29.9 per cent because it surveyed 2,713 properties. Nobody has done that work here, and a regulator cannot act on a dependence it has no measurement of.

Which points at the only sensible thing to do this quarter, and it is not litigation. It is documentation, because

both instruments are evidentiary and both ask the same question. Keep the current platform contract and every version of the visibility programme terms. Record what happened to ranking the last time a direct rate undercut the platform rate. Log the commission tier and what it was contingent on. Note every unilateral change to terms and whether notice was given, because that is section 40B(2)(d) and it is free to prove.

Europe's hotels will probably win something. It took them a judgment, a foundation, thirty associations, 18,000 claimants and twenty years of overpayment to get there, and the money, when it comes, goes to European balance sheets. East Africa was handed the prohibition before the harm had been fully priced, written into regional law in words a hotelier can read without a lawyer. The only thing standing between the region's operators and a remedy of their own is that nobody has yet written anything down.



The reality of the transport column: a diesel-dependent safari product. Photograph: Onyango George / EA Hospitality Pulse

BIG READ 7 OF 9 • 2 OCTOBER 2026

Reaching a lodge is getting dearer five times faster than the lodge. Nairobi and Kampala published it on the same day.

Every East African price release prints the cost of moving a guest and the price of housing one in adjacent rows. In Kenya's and Uganda's September returns the first is running at four to six times the second, and that gap is the region's margin.

On the evening of 23 September, in a function room at the Kampala Serena Hotel, Uganda's tourism establishment gathered to announce that it had won something. The Future Hospitality Summit Africa, the investment conference that has spent recent years in Cape Town and Nairobi, will convene at the Speke Resort Convention Centre on 2 and 3 February 2027. The Uganda Tourism Board co-hosted the reception. Juliana Kagwa, the board's chief executive, had her moment. The pitch to the room, and through it to the capital the room was meant to attract, covered hotels, aviation, tour operations and everything beneath.

The following morning, a directive signed nine days earlier by the Bank of Uganda took effect, raising the cash reserve requirement for commercial banks from 11 per cent to 13.5 per cent and stripping two and a half percentage points of lendable liquidity out of the banking system in a single reporting cycle. The circular, signed by David Kalyango, the central bank's executive director for supervision and regulation, framed this as support for "prudent liquidity management" and for "the effectiveness of monetary policy transmission". In plainer terms: the shilling was sliding, and the central bank wanted the money market to stop helping it slide.

Both were reported. The number that mattered more than either was published a week later, in a routine table, and went unmentioned.

Every statistics office in East Africa measures consumer prices against the same international classification, and that classification puts two things of unusual interest to this industry in adjacent rows. One is transport, which is what it costs to move a person. The other is restaurants and accommodation services, which is what it costs to house and feed one. Nobody reads them together, and on 30 September two of the region's three bureaux

published them on the same morning.

The Kenya National Bureau of Statistics put annual transport inflation at 15.6 per cent and annual restaurants and accommodation services inflation at 3.0 per cent. The Uganda Bureau of Statistics recorded transport at 9.8 per cent and restaurants and accommodation at 2.3 per cent. Two countries, two currencies, two fiscal regimes, and in each the cost of delivering a guest is rising at four to six times the rate at which the guest's stay is repriced. In Uganda the divergence widened from both ends at once: transport inflation rose from 9.4 per cent to 9.8 per cent over the month, while restaurants and accommodation inflation fell from 2.5 per cent to 2.3 per cent.

Tanzania publishes on a different calendar, and its most recent figures, released 8 September and covering August, show the same shape: transport at 13.8 per cent against restaurants and accommodation at 3.0 per cent. The September print is due on 8 October, a dated test of whether this is a regional pattern or a coincidence of two.

That gap is not an abstraction. It is the sector's margin, measured by the state, in public, monthly.

The engine of the transport column is diesel, and both bureaux publish national average retail prices, which makes the movement harder than anything the trade press has carried.

	Sept 2025	Sept 2026	Change
Uganda diesel	Shs4,736	Shs6,757	+42.7%
Uganda petrol	Shs5,080	Shs6,642	+30.7%
Kenya diesel	KSh172.64	KSh219.04	+26.9%
Kenya petrol	KSh185.59	KSh214.95	+15.8%

Read that down the pairs rather than across the rows, because it contains something the industry has not priced. A year ago diesel was the cheaper fuel in both countries. Today it is the dearer one, by Shs115 in Uganda and KSh4.09 in Kenya. The crossover matters because of who buys what. Petrol is the price quoted on the news, debated in parliament and used as shorthand for the cost of living. Diesel is what a safari fleet burns, what a generator burns at an off-grid camp, and what the lorry bringing that camp its supplies burns. The fuel this industry actually buys has moved past the fuel everyone watches.

The transmission into safari product is direct, because safari product is substantially a diesel product. A game drive is fuel, a vehicle and a wage. Transfers are fuel. Water pumping, cold storage and lighting at a camp beyond the grid are, after dark and under cloud, fuel. Figures cited by the Shippers Council of Eastern Africa in September put fuel's share of regional road transport costs at 55 per cent, against 38 per cent in 2021. Agayo Ogambi, the council's chief executive, framed it in terms any operator costing a season would recognise: "The key challenge is not only infrastructure capacity, but the cost and unpredictability of moving cargo across the entire corridor."

The other column, the one that will not move, is a pricing-power problem with three causes, none of which resolves itself by February. The first is contractual: a camp in the Serengeti or a lodge on the Nile sells in dollars, to overseas tour operators, on rate cards agreed twelve to eighteen months ahead, so revenue is fixed in a hard currency at a price set in the past while costs reprice monthly against a commodity up 43 per cent. The second is supply, the region having added rooms faster than it has sold forward years. The third is domestic demand, squeezed in Kenya by the same release: food at 9.5 per cent and overall inflation at a one-year high of 6.8 per cent.

Operators have a reflex answer to cost shocks of this kind, and it is worth saying why it fails. The reflex is the dollar hedge: earn hard currency, spend soft, and let depreciation widen the margin on its own. The currency has obliged, the Tanzanian shilling 6.7 per cent weaker year on year in August and the Ugandan shilling down from a Shs3,704.51 August average to around Shs3,918 this week, with only the Kenyan shilling holding still near

KSh129.5. But depreciation pads a dollar earner's margin only to the extent its costs are genuinely local, and diesel is not local. Neither are tyres, vehicle parts, generator spares, reinsured cover or dollar-denominated debt on a rebuild. These are dollar-priced inputs settled in shillings, so a weaker shilling raises them directly. Uganda's 43 per cent is not primarily a story about world oil prices. It is substantially the local-currency price of a dollar commodity. Susan Kavuma, an economist at Makerere University's School of Economics, put it to the Daily Monitor in mid-September: "A depreciation of the shilling means a higher cost of imports and, therefore, the economy is likely to experience inflationary pressures." For a tented camp four hours from tarmac, almost everything is an import.

The revenue leg of that hedge is not growing either. The Bank of Tanzania's Monthly Economic Review, published on 30 September, puts travel receipts for the year to August 2026 at \$4.39bn against \$4.31bn, growth of 1.7 per cent in nominal dollars, which is to say none at all after price. Transport receipts rose 26.4 per cent to \$3.30bn on transit freight. Tanzania's services account is growing. The growth is trucks.

Financing tightened in the same fortnight. Uganda's reserve requirement increase takes liquidity out of the banking system precisely when lodges draw working capital for the high season. Benoni Okwenje, general manager for financial markets operations at Centenary Bank, defended the logic: "Cutting liquidity in the banking industry will help bring down risks of speculation and volatility in the foreign currency market." That may be right for the currency. It is unambiguously a higher price of credit for a borrower whose collateral is a camp. In Kenya the squeeze is subtler: the central bank has held its policy rate at 8.75 per cent since February through four meetings, and its Monetary Policy Committee next meets on 7 October with core inflation up from 3.4 to 4.0 per cent in a month. Headline inflation can be blamed on weather. Core cannot, and the easing runway Kenyan borrowers were counting on to refinance looks like closing.

One detail in the Kenyan release should change how operators read all of this. Transport prices fell 0.4 per cent month on month in September, and pump prices for diesel and petrol were unchanged. The annual 15.6 per cent is therefore a level effect rather than a spiral: fuel stepped up over the year and is now holding. That is better news than a spiral and worse news than it sounds, because a spiral eventually breaks while a level persists. This cost base will not inflate away. It has to be priced.

A cost that has reset rather than spiked invites a structural answer rather than an annual one, and operators have started reaching for it: not a cheaper litre, but fewer of them. Gerard Beaton, head of operations at Asilia Africa, described the shift to Tourism Update in May, before the worst of this year's move: "The fuel surge in prices is a relatively recent thing. But I definitely think there are people who have been more conscious of it in the past few months." He put the cost of converting a safari vehicle to electric at between \$25,000 and \$30,000, and said rising fuel prices "definitely increases the appetite for vehicle conversions". Appetite is not finance. Converting a fleet of eight is a quarter of a million dollars of capital expenditure, requested from a banking system that has just had its lending capacity cut, by a borrower whose dollar revenue grew 1.7 per cent.

Michael Atingi-Ego, the Bank of Uganda's governor, told an audience in mid-September that the bank "has what it takes to stabilise this exchange rate. So, be still. All will be fine." On the currency he may be vindicated. But stability at Shs3,900 is not a return to Shs3,700, and the fuel bill has already reset. A stabilised currency delivers certainty rather than relief, and certainty at the new level is what belongs in 2027 contracts.

Which returns the argument to the Serena, and forwards to February. When FHS Africa convenes at Speke Resort, the room will be deciding whether to put money into East African hospitality, and the demand case is real enough: Africa was the strongest region in IATA's August traffic data at 4.4 per cent passenger growth, though on capacity up 7.2 per cent and the weakest load factor of any region. The pitch will lead on demand. The sharper people in the room will have read further down the page, to the two rows that sit side by side in every East African price release, and will ask what those rows pose. Not whether the region can fill its rooms, but whether an operator whose room rate is rising 3 per cent can carry a fleet whose fuel is rising 43.

That question sorts operators rather than describing a sector. A lodge with a balance sheet can convert a fleet, buy

fuel forward, or carry a thinner season and wait for the rate cycle. A lodge without one can do none of those, and the exit available to an owner who cannot finance the gap is to sell to an owner who can. Squeezes of this kind rarely close businesses so much as change whose name is above the door, and at an investment summit that is not the warning it sounds like. It is the pipeline. Some of the capital arriving at Speke Resort in February will be buying from the people this September is squeezing.

Rate cards for 2027 are being signed now.



Kampala's central business district, where the hotel tax is charged on the occupied room. Photograph: Onyango George / EA Hospitality Pulse

BIG READ 8 OF 9 • 3 OCTOBER 2026

Kampala taxes the night. Nairobi has started taxing the room.

One deletion in the Finance Act removed the VAT exemption on services used to build tourism, conference and recreational facilities, effective 1 July, in the same quarter the state expects to open a KSh 30 billion convention complex. Across the region the base of the tax is shifting from the night sold to the room owned, and that is the wrong direction for a market whose problem is empty months.

The building site at Lang'ata has been the most photographed piece of hospitality capital in East Africa for the better part of a year. "Construction of the Bomas International Convention Complex is progressing well," President William Ruto wrote on his official account while the project's April completion date was still standing. "The project is being delivered around the clock, employing up to 3,000 workers daily, to ensure it is completed by April 2026. It is designed to meet modern global conference standards."

The specification explains the enthusiasm. The complex is costed at KSh 30 billion and built for up to 11,000 delegates across 35 meeting rooms, with a 5,000-seat auditorium, a second hall seating 3,500, and a presidential pavilion sized for 30 heads of state. April came and went. On 20 April the Interior principal secretary, Raymond Omollo, confirmed a revised delivery date of September, and the Africa-France summit that was to have opened the building on 11 and 12 May moved to the Kenyatta International Convention Centre instead.

All of that is public money building public capacity, and it is the easy half of a conference strategy. The hard half is the privately financed hotel, ballroom and exhibition hall that has to open around a venue like that for the strategy to mean anything, and the terms on which those get built changed in the same quarter, in a document nobody in the sector was reading.

On 23 June, two months after the Bomas date slipped, the President assented to the Finance Act 2026. Section 32 of that Act amends the First Schedule to the Value Added Tax Act. Subparagraph (a)(iii) of it does one thing, in six words: it deletes paragraph 26.

Paragraph 26 of Part II of that schedule had been there since 2016, inserted by section 30(b)(iv) of Act No. 38 of

that year. It read: "Taxable services for direct and exclusive use for the construction of tourism facilities, recreational parks of fifty acres or more, convention and conference facilities upon the recommendation by the Cabinet Secretary responsible for matters relating to recreational parks." From 1 July 2026, those services carry VAT at 16 per cent.

Whoever builds the conference capacity that Nairobi, Mombasa, Kampala and Kigali are all bidding for now pays the difference. The state's own complex does not.

The sector saw a version of this coming once and stopped it. In June 2025, when the previous Finance Bill proposed removing the parallel exemptions for goods used in tourism construction and for locally assembled tourist vehicles, the Tourism principal secretary, John Olotuaa, put the ministry's case to parliament in public. Retaining the exemptions, he argued, would protect Kenya's competitiveness against regional rivals and the quality standards that bring guests back. "This measure will ensure the sustained growth of a resilient, competitive, and inclusive tourism sector in Kenya," he said.

A year later the services limb went with no comparable noise: no ministerial memorandum reported, no association statement, no delegation. Services, in a building of this kind, is not a marginal category. It is the architect, the structural and services engineers, the quantity surveyor, the project manager and the professional element of what the main contractor bills, which together account for a substantial share of the cost of putting up a hotel or a conference hall before a single bag of cement is argued about. All of it now carries 16 per cent that it did not carry in June. What the 2026 Act does to the goods limb is a question for a tax adviser rather than a newspaper. The services limb is not ambiguous. It is deleted.

It would be easy to file this as one more line item, and that would miss what is happening across the region. There are three places a government can put its hand into a hotel, and they behave completely differently in a bad year.

Kampala taxes the night. The Local Hotel Tax, levied under the Local Government (Amendment) (No. 2) Act 2008 and the Kampala Capital City Act 2010, is collected by hotels for the Kampala Capital City Authority at US\$2 per room per night for four and five star properties, UGX 2,000 for three star and anything above UGX 50,000, and less below that. It is assessed on room occupants, so the liability arrives with the guest and does not arrive in a month without guests.

Edinburgh taxes the bill. On 24 July 2026 the first city-wide visitor levy in the United Kingdom came into force there at 5 per cent of the accommodation charge, capped at five consecutive nights, with the same rate every day of the year. The council expects roughly £50 million a year and has committed more than £90 million over three years across city operations, culture and heritage, and destination management. "This small new contribution from overnight visitors will help improve the services and public spaces we all depend on, while better managing the effects of tourism and major events," said Jane Meagher, the council leader. Julie Ashworth, who chairs the city's visitor levy advisory forum, framed it as insurance rather than extraction: "The levy can help Edinburgh stay welcoming, resilient and successful."

A percentage of the bill is a partner in a bad season. It falls when rates fall, disappears when the room is empty, and because the guest sees it on the folio, the city has to say what it bought.

Nairobi has chosen the third base. The Nairobi City County Finance Act 2026, assented on 4 August, carries a schedule titled Tourism Levy and Entertainment Tax. On the reading published by Kenyan Wall Street on 25 August, it charges hotels KSh 2,000 per room a year, guesthouses KSh 1,000 per room, serviced apartments and short-stay units KSh 1,500 per unit, event grounds KSh 80,000, and takes 5 per cent of concert and professional sports ticket sales.

The honest thing to say about those numbers is that they are small. KSh 2,000 a room is about fifteen dollars a year, so a hundred-room hotel is looking at KSh 200,000, less than the KSh 250,000 the national classification regime charges a single enterprise to be graded. Nobody closes over this.

The base is the problem, not the rate. A charge on the room is owed in the thin weeks of May exactly as it is owed in the full weeks of August, and it is owed by the owner of a wing that has been shut since the long rains. It is a charge on having built, not on having sold. Once that base is established in a county schedule it is available to be raised in any later finance bill, by a county whose revenue pressure will not reduce.

One caution on the figures. The county has not published the 2026 Act, its online Finance Act series stopping at 2023, and the secondary readings disagree on the nightlife bands. The accommodation charges above rest on one outlet, so any operator budgeting against them should read the gazetted schedule, and the county should publish it.

What happened next in Nairobi is the part the industry should study. Within weeks, the film and content constituency made enough noise to earn a clarification from the governor. "These charges were never intended to target ordinary content creators, influencers or young people creating digital content," Johnson Sakaja said on 24 August, distinguishing a phone video from "a large film production arriving with a crew, equipment, vehicles and requiring the temporary closure or controlled use of a road." He added: "We will not introduce measures that stifle that creativity."

No equivalent clarification was issued about accommodation, because no equivalent noise was made about it. Stephen Osedo, head of policy, research and advocacy at the Kenya National Chamber of Commerce and Industry, described the pattern. "Every so often we see tax amendment bills or counties reviewing their legislation around fiscal policy," he said. "You wake up, and there is a new levy or fee that has been introduced."

Set against all of that, the national government is at the same time doing the design well. The Tourism Amendment Bill before parliament keeps the levy on hospitality at 2 per cent of revenue from regulated hotels and restaurants, and rebuilds its collection. "We therefore need to amend and modernise the law so that it reflects the realities of the sector today, responds to emerging opportunities and provides a stronger foundation for its future growth," the Tourism cabinet secretary, Rebecca Miano, told the committee. The principal secretary, Julius Bitok, described the plumbing: "We are borrowing the approach underpinned by the Public Finance Management Act where KRA collects money through e-Citizen and deposits the funds with CBK for allocation through the Treasury."

Most useful of all, the committee chair, Kareke Mbiuki, pressed the ministry to broaden the base "beyond the current hospitality industry to include Airbnb and other facilities," and insisted on an "extensive public participation exercise to capture broad consensus." A revenue-based levy, audited through a proper collection chain, extended to the short-stay stock that competes with licensed rooms and has largely not paid it: that is the reform licensed hoteliers have asked for repeatedly, and it is open for submissions now.

Why this matters more in East Africa than it would in a mature market is a question of what is arriving. The 2026 Hotel Chain Development Pipelines in Africa report from W Hospitality Group, published on 10 March, counted 123,846 rooms across 675 hotels and resorts on the continent, up 18.6 per cent. Kenya holds 6,190 of those rooms across 35 properties, and 4,922 are already under construction. Tanzania has 3,222 of 4,159 in the ground. That capacity opens whether or not the demand turns up, into a market whose weakness has never been the peak weeks but the shoulder months on either side of them.

A tax on the room and a tax on the building both raise the occupancy a property must achieve before it earns anything. A tax on the night does not. When the binding constraint is empty months, moving the base from the stay to the asset lands the charge precisely where there is no revenue to pay it from.

The counties have a real answer to this, and it deserves stating. Own-source revenue is thin, a room count can be audited once a year against a register while occupancy in a partly cash market cannot, and a percentage levy needs a collection chain of the sort the Tourism Amendment Bill is still trying to build. Fixed fees are the instrument available to an administration that cannot yet verify turnover. The sequencing is intelligible. The cost of it is charged to the capacity that the same state is spending KSh 30 billion to attract business for.

Three things follow for anyone running or building rooms in Kenya this quarter. Re-quote 2027 capital projects with professional services at 16 per cent, separated on the invoice so the exposure is visible. Make a submission while the Tourism Amendment Bill is in public participation, and make it about the base rather than the rate: the bill, not the room. And add up every county line item into one annual figure per available room, then put it in front of the county assembly in April, because a schedule argued in August is a schedule already passed.

The complex at Lang'ata will open with the state's name above the door. The rooms that have to fill it will be built at sixteen per cent more, by people who were not in the room when paragraph 26 was deleted.



The deck of a safari lodge, the product that is sold six months before anyone stands on it. Photograph: Onyango George / EA Hospitality Pulse

BIG READ 9 OF 9 • 4 OCTOBER 2026

The confirmed booking has stopped being a decision. East Africa's lodges still bank it as one.

New research presented in New York finds that 78 per cent of travellers keep shopping after they book, and half have changed a confirmed accommodation after seeing something better. East African safari bookings are made roughly 186 days out and carry no cancellation charge for the first 126 of them. That gap is where the sector's working capital now sits.

On a stage in New York in late September, Margaux Constantin, a partner at McKinsey, described what her team had found when it stopped asking travellers what they had booked and started watching how they behaved. They had expected a funnel: inspiration narrowing to consideration, consideration narrowing to a purchase. What they found instead was a loop that never closed.

"There was no clear moment of intention to buy," she told the Skift Global Forum. "It was actually a constant intention to buy."

The report behind that line, *Winning Hearts in an Age of Infinite Travel Choices*, published by Skift Research with McKinsey on 22 September, is built from a survey of more than a thousand American travellers, a diary study tracking 211 real research and booking sessions, interviews with senior commercial executives at Marriott, Accor, IHG, Hyatt, American Express Global Business Travel and Turespaña, and behavioural scientists at Wharton and Columbia. Its findings are modest in tone and awkward in implication. Travellers now pass through roughly 65 touchpoints before a trip is booked, up from 45 in 2018. Seventy-eight per cent keep researching after they book. And, in the report's own phrasing, half "have changed a confirmed accommodation after seeing a better option online".

Heather Balsley, IHG's chief commercial and marketing officer, put the operational consequence plainly at the same event. "You can't stop at the booking," she said. "That trend of travel anxiety is more rampant than ever."

For a city hotel selling a two-night stay booked eleven days in advance, this is a marketing problem. You stay visible, you keep the confirmation email warm, you win the re-shop. For an East African lodge, it is a balance

sheet problem, and the reason is arithmetic that nobody at the Skift forum had any cause to perform.

Start with when the money arrives. David Ryan, founder and chief executive of Rhino Africa, told Southern and East African Tourism Update on 31 August that his high-season business books between 186 and 190 days ahead. "Our peak booking time for this high season was January to March," he said, for travel in the middle of the year. That is the shape of the product: a safari is planned around school terms, annual leave and migration timing, assembled by an agent, and paid for in stages across six months.

Now look at what those six months are worth contractually. Natural World Kenya Safaris, whose published terms are unremarkable for the segment, takes a deposit scaled to trip length, 20 per cent for a short safari, 40 per cent for seven to twelve days, 50 per cent for a combined Kenya and Tanzania itinerary. Its cancellation ladder then reads: no charge at all more than 60 days out, 20 per cent between 35 and 60 days, 40 per cent between 15 and 35 days, 60 per cent inside 15 days, and the full price inside three.

Put the two together. A booking made 186 days out sits for 126 days during which the guest can walk away at no cost, and then enters a 60 day window in which leaving becomes progressively expensive. Two thirds of the booking's life is a free option. The deposit is not a penalty during that stretch, it is a refundable holding fee.

That was a tolerable design when travellers decided once and then waited. The Skift and McKinsey work describes a world in which they decide continuously, and in which the decision is not experienced as a risk to be closed but as a pleasure to be extended. Brian Chesky, Airbnb's chief executive, said the quiet part at the same forum: "Shopping is entertainment. The ultimate form of entertainment shopping is planning travel." The 126 days are not dead time any more. They are 126 days of entertainment, conducted on a phone, against a lodge that has already counted the revenue.

Hilton's own research points the same way from a different angle. Its 2027 Trends Report, published on 29 September and conducted by Morning Consult across 14,744 travellers in fourteen markets between 18 May and 1 June, found 67 per cent preferring trips that pack a great deal into a short window, and 54 per cent admitting to pressure to have the perfect trip. Those two findings in combination describe a traveller who is both time-constrained and status-anxious, which is to say a traveller with every incentive to keep looking for something better right up to departure.

None of this means East African operators are about to watch their 2027 books evaporate, and the honest reading of the evidence is more interesting than the alarming one.

Skift's own reporting on the research, published a day after the report, noted that travellers are not materially switching destinations. They are repeatedly questioning whether they secured the best price. That distinction matters enormously here. A guest who has decided on the Mara, booked permits or park entry, and coordinated flights with a migration window is not casually relocating to Botswana in April. The churn risk is not that the trip disappears. It is that the specific property inside the trip gets swapped, which is a very different and much more local injury: the itinerary survives, the lodge does not.

There is a second qualifier, and it is a genuine one. The 50 per cent figure describes travellers who have ever changed a confirmed booking, drawn from a sample of roughly a thousand Americans. It is not a per booking churn rate, and anyone who quotes it as "half our bookings will move" is misreading it. What it establishes is that the behaviour is now ordinary rather than exceptional, which is enough to matter when the contractual window is 126 days wide.

The segment's structural defences are also real. Rhino Africa runs 60 to 65 per cent repeat and referral business, and a guest who came back because of a guide is not re-shopping on price. Rwanda's gorilla permits are bought from the state, date-locked and paid in advance, and the national accounts show how much of the holiday economy that represents: of the 57.6 million dollars of holiday expenditure by air passengers in the second quarter, the National Institute of Statistics of Rwanda records that gorilla revenue accounted for 79.4 per cent. That money is not available to be re-shopped. It is the most churn-proof line in East African tourism, and it

belongs to the government.

Which points at the uncomfortable part of Rwanda's data, published in August in its Travel Expenditure Survey Report for the first half of 2026. In the second quarter Rwanda earned 161.8 million dollars in travel exports, up from 121.7 million a year earlier. Holiday travel accounted for 36.9 per cent of it, 59.7 million dollars. Visiting friends and relatives accounted for 28.1 per cent, 45.5 million. Business accounted for 24.9 per cent, 40.2 million. Set the permit concentration against the purpose split and a blunt conclusion follows: the holiday guest, the one the sector's rate cards, marketing budgets and sales trips are all built around, is a minority of inbound travel earnings, and most of the money they do bring is a state fee rather than a room rate.

Rwanda, travel exports, 2026 Q2	Value	Share
Holiday	US\$59.7m	36.9%
Visiting friends and relatives	US\$45.5m	28.1%
Business	US\$40.2m	24.9%
Air credit, North America	US\$40.2m	
Air credit, EAC and rest of Africa combined	US\$49.3m	

The regional line in that table is the one to sit with. North American visitors arriving by air generated 40.2 million dollars. East African Community visitors plus the rest of Africa generated 49.3 million between them. The single most valuable air market for Rwandan travel exports is now the continent it sits on, and that customer books late, stays shorter, is far less likely to be routed through a Johannesburg or London agent, and has no six month lead time within which a cancellation ladder can bite.

So the exposure is not evenly distributed, and that is the planning point. The long-haul, agent-assembled, permit-anchored booking is the one most protected from the behaviour the McKinsey work describes, because its components are prepaid to third parties and its guest has usually bought the destination rather than the bed. The short-lead regional booking, the Nairobi corporate stay, the Kigali conference room, the Kampala family weekend, the domestic Mombasa long weekend, is the growth segment, and it is almost entirely unprotected: booked direct or through an online intermediary, inside the free-cancellation window from the moment it is made, and sitting in exactly the channel where a better offer is one notification away.

Maija de Rijk-Uys, managing director of African Bush Camps, framed the current market to Tourism Update in a sentence that reads differently in light of the New York research. "The market is not necessarily lacking demand," she said. "There is simply more consideration and competition."

More consideration is the whole problem. Consideration used to end at the confirmation. The practical response is not to tighten terms indiscriminately, which in a market where 43 per cent of surveyed trade reported weaker demand than 2025 would simply hand the booking to a competitor with softer ones. It is to price the option honestly. A booking that can be cancelled free for 126 days is a product the lodge is giving away, and it can be sold instead: a lower rate for a firmer commitment, a flexible rate that costs more, a date-change right that is cheaper than a refund right, a deposit that converts to credit rather than cash. Priceline, according to Skift, has responded to the same anxiety by selling more cancel-for-any-reason cover, which is the intermediary monetising precisely the uncertainty that the lodge currently absorbs for nothing.

The second response is to see the churn at all. A lodge selling through agents does not watch guests re-shop. It watches a rooming list change, weeks later, with no explanation attached, and records it as agent behaviour rather than guest behaviour. The sector's instinct is to read that as a relationship problem with the agent. The research suggests it is increasingly a measurement problem, and that the properties which build a direct line to the guest will not necessarily convert more bookings, but will at least know when one is quietly being reconsidered.

East Africa has spent this year worrying about the cost of the seat, the price of the permit and the level of the

levy. All of those are real, and all of them are set by someone else. The length of the window in which a confirmed guest can leave for free is the one variable on that list that a lodge sets for itself, and it is currently set as though 2018 never ended.

THE LEDGER

We publish our forecasts with resolution criteria and a deadline, then score them in public. Open calls can be checked against the source on the date given.

No calls made or resolved in this window.

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